F&IC

THE FINANCE & INVESTMENT CELL
ST. STEPHEN'S COLLEGE

PRESENTS

BUSINESS TANGENT

A SOCIAL IMPACT CASE COMPETITION

CASE PARTNER

Dalberg Advisors

F&IC

Dalberg Advisors

GUIDELINES

- All solution PDFs must have the Team Name, Participant Names, Email IDs, and College Names.

- All the case statements are given within this document itself at the end. There are **4** case statements to be answered.

- If you are unable to submit, reach out to us at fnic@ststephens.edu. The submission deadline is **28th Oct, 6:00 PM** . Entries after the allotted time will be disqualified

- The presentation outlining the solutions to the case statements should not exceed **6 slides** (Excluding title, thank you, and appendices slides).

- State your assumptions clearly and justify them. Kindly show all relevant calculations or modelling that you use.

- All names, data & other specific details have been fictionalised for the purpose of confidentiality.

- More than one submission will result in immediate disqualification unless informed otherwise with a valid reason for the same.

- Contacting any individual from this organisation to help you with the case will lead to immediate disqualification.

F&IC

Dalberg Advisors

INDUSTRY OVERVIEW

- India's small and marginal farmers often sell individually, with limited access to buyers, finance and reliable agricultural services. Small production volumes and fragmented market access weaken their bargaining power and make it difficult to secure favourable prices.

- Farmer Producer Organisations (FPOs) bring farmers together to aggregate produce, purchase inputs collectively and access larger markets. However, many struggle to generate enough business to cover operating costs and deliver consistent value to their members. Establishing an FPO is therefore only the first step towards building a commercially viable organisation.

- Cluster-Based Business Organisations (CBBOs) support FPOs through business development, market linkages, professional management and institutional strengthening. Their role is to help FPOs develop both the business volumes and internal capabilities needed to operate independently once the initial period of external support ends.

F&IC

Dalberg Advisors

CASE BACKGROUND

- A philanthropic Foundation has committed US$1 million annually for three to five years to strengthen FPOs in Bihar through Kosi Agri Partners (KAP). KAP is a CBBO supporting 12 FPOs across flood-prone districts of north and north-east Bihar, of which seven focus on maize and five on vegetables.

- A typical FPO was established in 2022-23 and has approximately 500 members, around 20% of whom are women. It generates annual turnover of ₹20-35 lakh, with each member having contributed ₹2,000 in share capital. Its nine-member board typically includes one woman director.

- Despite this foundation, the FPOs continue to face constraints across market access, working capital, infrastructure and management. With KAP's handholding expected to conclude around 2027-28, the Foundation must determine how its funding can help these organisations build viable businesses and reduce their dependence on external support.

F&IC

Dalberg Advisors

KEY CHALLENGES

- **Market Access and Business Development:** The FPOs rely largely on local traders and a small number of buyers, with no formal supply contracts. Low produce aggregation volumes limit their ability to serve larger buyers and negotiate favourable terms. The challenge is to build reliable buyer relationships and increase the volume of business conducted through the FPOs.

- **Financial Access:** A typical FPO has approximately ₹10 lakh in working capital against peak-season requirements of ₹25 lakh. Limited access to credit, combined with buyer payment delays of 30–60 days, restricts procurement and makes timely farmer payments difficult. The FPOs need financing arrangements that support seasonal business requirements without creating an unsustainable repayment burden.

KEY CHALLENGES

- **Operational Infrastructure and Supply Chains:** Limited access to storage, grading, quality-control facilities and reliable logistics affects the FPOs' ability to handle produce efficiently and meet buyer requirements. Flood and drought risks create further uncertainty around procurement and delivery. KAP must determine which operational improvements are commercially justified, accounting for the different handling requirements of maize and vegetables.

- **Organisational Capacity and Farmer Participation:** Gaps in professional management, accounting, governance and compliance limit the FPOs' ability to operate independently. Weak member engagement can also restrict participation in procurement and sales activities. Women account for around 20% of membership, while a typical nine-member board includes only one woman director. Strengthening internal capabilities and farmer participation will be essential to sustaining operations after KAP's support ends.

F&IC

Dalberg Advisors

DELIVERABLES

- **Strategic Priorities:** Identify two or three challenges that KAP should prioritise to improve FPO sustainability. Explain why addressing these constraints would have the greatest impact on business performance and independent operations. Distinguish between priorities common to all 12 FPOs and those requiring different approaches for maize- and vegetable-focused FPOs. A detailed assessment of individual FPOs is not required.

- **Priority Interventions and Expected Outcomes:** Recommend up to three practical interventions to address the priorities identified above. Explain how KAP should implement each intervention and where the approach should differ between maize- and vegetable-focused FPOs. Define the expected outcomes by the end of the support period using a few measurable targets, such as farmer participation, business volumes or the ability to cover operating costs. Clearly state the assumptions supporting these targets.

F&IC

Dalberg Advisors

DELIVERABLES

- **Implementation and Exit Roadmap:** Develop a phased three-to-five-year roadmap for the proposed interventions, outlining the main activities, key milestones and indicators used to track progress. Explain how operational and management responsibilities will progressively shift from KAP to the FPOs. Define the conditions the FPOs should meet before external support ends.

- **Budget Allocation and Financial Sustainability:** Prepare an indicative annual budget allocating the available US$1 million across the proposed interventions and KAP's support activities. Present allocations as amounts or percentages, justify the major spending priorities and explain any significant changes in spending over the implementation period. Identify how recurring operating costs will be covered after philanthropic support ends.

Note: *Recommendations should complement existing government support rather than duplicate it. They should account for differences between maize- and vegetable-focused FPOs, address climate-related risks and support women's participation in business activities and decision-making. All proposals should be feasible within the available funding and implementation period.*